AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context

MTA

2025-2026 / Fall Semester

Version B

20-November-2025

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 Hours

nstructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided.
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except for graphs/sketches.
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examin
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

uestion 1 (20 marks)

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Financial resources are essential for a company to expand, develop new offerings, enter different markets, and handle unexpected expenses. Without adequate funding, a business may struggle to operate effectively or maintain its market position. Discuss the different methods a company can use to secure financing.

Question 2 (20 marks)

Raising share capital is essential as it enables a company to secure funds for expansion without relying on loans. This enhances its financial stability, boosts credit ratings, and lowers dependence on external borrowing. Describe the three methods you learned in BB293 that companies can use to increase their share capital.

Question 3 (20 marks)

A new company, Start Ltd, issues 3,000 ordinary shares with a nominal value of £1 issued at a price of £4 and 8,000 preference shares with a nominal value of 50p, issued at a price of £4.

Required

Calculate the ordinary share capital and premium, and the preference share capital and premium for Start Ltd

Question 4 (40 Marks)

John owns a small business selling coffee makers to other businesses. On 31st December 2022, he extracted the following trial balance.

Trial Balance

Account Name	Debit $	Credit $
Sales Revenue		270,750
Sales returns	4,800	
Opening inventory	17,625	
Purchases	135,540	
Purchase returns		4,800
Freehold property	63,000	
Equipment at cost	30,000	
Accumulated depreciation on equipment		4,500
Motor vehicle	32,250	
Accumulated depreciation on motor vehicle		5,400
Salaries and Wages	9,000	
Insurance	2,400	

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Motor expenses	3,750	
Advertising expenses	2,250	
Loan interest	3,000	
Receivables	30,750	
Allowance for receivables		2,250
Payables		22,875
Cash at bank	119,835	
Bank loan		25,500
Capital		118,125
Total	**454,200**	**454,200**

The following information is relevant.

1. Closing inventory was valued at $26,000.
2. Equipment is depreciated by 25% on a reducing balance basis.
3. Motor vehicles are depreciated by 20% on a reducing balance basis.
4. Accrued wages at the end of 2022 amount to $4,500.
5. On 1 August 2022 John paid $2,000 for insurance which is valid until 31 July 2023.
6. Irrecoverable receivables of $2,000 need to be written off.

Required:

a. Prepare John's income statement for the year ending 31st December 2022.
b. Prepare John's balance sheet as of December 2022.

[20 + 20 = 40 marks]

End of Questions

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